Stateholder capitalism: corporate governance in China

Corporate Governance · Session 18 · Source: Lecture 6 deck (“Variety of capitalism 4. Stateholder capitalism: Corporate governance in China”)

By the end of this session you should be able to describe the Chinese model of “stateholder capitalism”: the overwhelming presence of SOEs in strategic industries and concentrated ownership elsewhere, the privatization and reform sequence from 1978 to SASAC, the role of the five big state-controlled banks, the structure of the stock market (Shanghai, Shenzhen, Beijing; A/B/H/State/Legal Person shares), the evolution of the corporate governance framework from the 2002 Code to the 2018 politicization and the 2024 Company Law, and the tension between genuine governance improvement and tightening political control.

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1. The basics of Chinese capitalism

China has a complex and articulated entrepreneurial system, with some of the world’s largest enterprises, increasingly dominant at the global level.

- **Ownership:** the Chinese peculiarity is the **overwhelming presence of SOEs** (State-Owned Enterprises), dominant in almost all industries considered **strategic** by the Government.
- Among the largest companies (private and SOEs), **ownership concentration is still prevalent**.
- Two categories of blockholders stand out: **central/local Government** (goals: profitability, public good provision, industrial policy, long-term geopolitical strategies) and **families/individuals** (goal: profitability).
- As elsewhere, blockholders take the relevant strategic decisions. In private companies ownership and management coincide; **among SOEs, the top management includes CCP (Communist Party) officers**.
- The **main agency conflict is therefore between blockholders and minorities**, and it is even more evident in SOEs.

Contrast with the models already studied: in the US/UK the conflict is managers vs dispersed shareholders; in Germany/Japan it sits between blockholders and minorities but the State is not the blockholder. In China the dominant blockholder is the State itself, and its goals mix profitability with industrial policy and geopolitics.

2. From State to Market: reforms 1978 onwards

The reform sequence, as given in the deck:

- **1949-1978:** SOEs are the only possible agents in a planned economy.
- **Since 1978:** private initiative and foreign direct investment are allowed in the **Special Economic Zones**.
- **1978-1984:** stimuli to SOE efficiency; SOEs increasingly compete with private companies (domestic and foreign).
- **1985-1993:** to increase efficiency and reduce corruption, the pervasiveness of political control is reduced (less identification between State-ownership and management).
- **1994-2002: corporatization and privatization of SOEs in non-strategic industries**; opening of the stock markets (**Shanghai 1990, Shenzhen 1991**).
- **2003-today:** the main strategic SOEs are placed under the control of a central agency, **SASAC (State-owned Assets Supervision and Administration Commission)**. Struggle against corruption and (selective) pressure on efficiency. The private sector is globally competitive but increasingly politically “controlled”.

The scale of state ownership (2022 data): 391,000 SOEs; among all 40 million registered firms, **363,000 are 100% state-owned**, 629,000 are 30% state-owned, and nearly 867,000 have at least some state ownership. Large SOEs are corporatized and listed (in China and abroad); small and medium SOEs went through ownership diversification and sales to insiders.

3. The banking system as an instrument of the State

Five main banks: **ICBC, China Construction Bank, Bank of China, Agricultural Bank of China, Bank of Communications**. Listed in Hong Kong but firmly under Government control, they account for about **50% of the assets of the banking sector and of total deposits**.

The banking system is a powerful instrument in the hands of the Government for:

- supporting and directing the SOE system;
- achieving medium-long term strategic objectives;
- regulating the economy.

This is stateholder capitalism in practice: credit allocation follows policy goals, not only risk-adjusted returns.

4. The stock exchange and the regulation of listed companies

- Modernization, liberalization and privatization form the so-called **“socialism with Chinese characteristics”**: a balance between (informally regulated) private initiative and state ownership.
- After the opening of the Shanghai (1990) and Shenzhen (1991) exchanges, the **China Securities Regulatory Commission (CSRC)** became operative in **1992**, supervising listed companies. By December 2025: **5,462 listed companies** across Shanghai, Shenzhen and Beijing.

The share capital of Chinese listed companies may include **four types of shares (plus one)**:

- **A shares:** ordinary shares, traded by domestic retail investors.
- **B shares:** ordinary shares, USD face value in Shanghai and HKD in Shenzhen, for foreign investors; a very small percentage.
- **H shares:** ordinary shares listed in Hong Kong, HKD face value, reserved to foreign investors.
- **State shares (non-tradable):** in reduction; since 2005 substituted by A shares.
- **Legal Person shares:** only for domestic social legal persons, traded outside the market.

5. Corporate governance a la Chinese: codes and definitions

- Corporate governance (**gōngsī zhìlǐ**) moved to the center of enterprise reform: the **Fourth Plenum of the CCP’s 15th Central Committee (September 1999)** identified corporate governance as the core of the modern enterprise system; WTO commitments added urgency.
- Chinese definitions of CG cover the system regulating relationships among all parties with interests in a business organization, spelling out shareholders as a particularly important group. In practice, Chinese CG discourse focuses almost exclusively on **agency problems**, and only within two types of firms: **SOEs** (after corporatization under the Company Law) and **listed companies** (which must be companies limited by shares, CLS).

The institutional steps:

- **2001:** adoption of the OECD CG Principles.
- **January 2002:** first Chinese CG code, issued by the CSRC (directly controlled by the State Council); **two-tier system**.
- **2009:** from copying to finding **its own CG model**.

6. Weaknesses of a strong system

The deck lists four structural weaknesses:

1. **Overwhelming concentration of state ownership.** Two-thirds of companies listed on the Shanghai Stock Exchange are SOEs. Direct result: **lack of independence of boards**; members of both the board of directors and the board of supervisors are typically selected and removed by the dominant owner, often the Government.
2. **Rampant insider trading.** With so many state-owned enterprises and non-tradable shares, insiders have made fortunes on stock offerings.
3. **Weak control of false financial disclosures.** Fabrication of financial reports is a serious problem.
4. **Immature capital markets:** preferential treatment of SOEs by Chinese banks, difficulties in issuing corporate bonds, absence of an over-the-counter securities market and corporate debt market.

Enforcement is real, though: the CSRC investigated **71 cases of market manipulation in 2015** (near fourfold increase from 2014); in the first half of 2016 it issued **109 sanctions in 88 enforcement cases** (many for insider trading and manipulation, +85% year-on-year) with fines of **RMB 2.55 billion (about $377m)**, almost 20 times the level of the first six months of 2015. The anti-corruption campaign has punished **278,000 officials, 440 at ministerial rank and above**, and it continues (former CSRC chairman Yi Huiman under investigation since September 2025; CSRC vice chairman Wang Jianjun and former NDRC vice director Xu Xianping expelled for bribes on 3 November 2025).

7. The politicization of corporate governance

The **2018 revision of the 2002 Code** introduces new **political** requirements:

- Companies must establish **party organisations** (representative units of the Communist Party inside the company, ensuring implementation of state objectives and policies), with the relevant requirements written into the **articles of association of state-controlled listed companies** (article 5).
- Promoting **board diversity** (article 25).
- Establishing **ESG requirements** such as green development and targeted poverty alleviation; companies are encouraged to develop concepts of “innovation, coordination, green development, openness, sharing” and social

responsibilities (articles 3 and 86).

The grip on the private sector tightens too:

- State-connected investors in private companies went from **14.1% of all registered capital in 2000 to 33.5% in 2019**; more than **130,000 private companies had joint ventures with SOEs by 2019** (45,000 at the turn of the century).
- Public investments in private-sector companies surged from **$9.4bn in 2016 to $125bn in 2020**.
- The **China Internet Investment Fund (CIIF)**, mostly owned by the Cyberspace Administration of China, holds stakes in a ByteDance subsidiary and in Weibo, a structure The Economist (18 November 2021) compares to the FCC taking discounted stakes and board seats in US tech groups.
- Yet the private sector keeps rising within the top 100 listed companies by market value (Peterson Institute, July 2025): the model is a moving balance, not a full nationalization.

8. The new Company Law 2024

The **2024 Company Law** is the foundational change; CSRC amendments align with it:

- **Abolition of supervisory boards:** listed companies may abolish their mandatory supervisory boards **if they establish an audit committee within the board of directors** (a shift from the two-tier tradition toward the one-tier model).
- **Strengthened independent directors:** INEDs must hold **at least one-third of board seats** and be **at least half of the members of the audit, nomination and remuneration committees**.
- **Increased accountability for controlling shareholders** and other "dual controllers" who control the company's affairs, with specific rules on **related-party transactions and information disclosure**.
- **Sustainability disclosure mandates:** CSRC guidelines (February 2024) plus the Ministry of Finance's Basic Guidelines (December 2024) mandate sustainability reporting for certain large companies starting with the **2025 reporting year**.
- **Enhanced investor role:** institutional investors holding **5% or more** of a company's stock are to be treated as **"active shareholders"**, engaged on director elections and executive pay.

The official framing (CSRC Vice Chairman Li Chao, October 2025): improving corporate governance and investor returns serves the development goals of the **15th Five-Year Plan** and "financial development with Chinese characteristics". The governance upgrades are real, but they serve the State's strategy: improvement, at the price of tighter political alignment.

9. Common Mistakes and Exam Traps

- Saying China is privatizing its way to a liberal market economy: SOEs remain **dominant in all strategic industries**, SASAC controls the main strategic SOEs, and political control of the private sector is **increasing**, not decreasing.
- Reversing the agency conflict: the main conflict is **blockholders vs minorities**, and in SOEs it is aggravated because the blockholder is the State (top management includes CCP officers); it is not the Anglo-Saxon managers-vs-dispersed-shareholders conflict.
- Mixing up the share types: **A** = domestic retail, **B** = foreign, tiny, USD/HKD face value, **H** = Hong-Kong listed for foreign investors, **State shares** = non-tradable (being substituted by A shares since 2005), **Legal Person shares** = domestic social legal persons only.
- Dating the institutions wrongly: Shanghai exchange **1990**, Shenzhen **1991**, CSRC **1992**, first CG code **2002** (after adopting the OECD principles in 2001), SASAC **2003**, politicizing revision **2018**, new Company Law **2024**.
- Believing the 2018 revision is only about governance quality: its distinctive feature is **political** (mandatory party organisations written into the articles of association of state-controlled listed companies).
- Treating the 2024 abolition of supervisory boards as unconditional: it is allowed **only if an audit committee is established within the board**; and INEDs must be at least one-third of the board and half of the key committees.
- Reading enforcement as weak: sanction numbers (71 manipulation cases in 2015, RMB 2.55bn fines in H1 2016, 278,000 officials punished) show a strong but politically driven enforcement.

10. Must Know Absolutely

Must know:
• Stateholder capitalism: SOEs dominant in strategic industries; concentrated ownership; two blockholder types (State with mixed goals, families/individuals for profit); main agency conflict = blockholders vs minorities, aggravated in SOEs.
• Reform sequence: planned economy (1949-78), Special Economic Zones (1978), efficiency stimuli (78-84), reduced political control (85-93), corporatization and privatization of non-strategic SOEs plus stock markets (94-02; Shanghai 1990, Shenzhen 1991), SASAC control of strategic SOEs (2003-today).
• Five big banks (ICBC, CCB, BOC, ABC, BCOM) = about 50% of sector assets and deposits, Government-controlled instruments of policy.
• Share types: A (domestic retail), B (foreign, USD/HKD face value, tiny), H (Hong Kong, foreign), State (non-tradable, being phased out since 2005), Legal Person (domestic institutions).
• CG milestones: OECD principles 2001, first code and two-tier system 2002 (CSRC under the State Council), own model from 2009; 2018 revision adds party organisations in articles of association, board diversity, ESG; 2024 Company Law: optional abolition of supervisory boards with audit committee, INEDs at least one-third of the board, controlling-

shareholder accountability, sustainability disclosure from the 2025 reporting year, 5% institutional investors as active shareholders.
• The model’s core tension: real governance improvement and strong enforcement, subordinated to the State’s strategic and political goals.